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EU AI Act

Denmark

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AI & Partners defends and extends the digital rights of users at risk around the world. By combining direct technical support, comprehensive policy engagement, global advocacy, grassroots professional services, regulatory interventions, and participating in industry groups such as AI Commons, we fight for fundamental rights in the artificial intelligence age.

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Who Are We

AI That You Can Trust

Why Us?

Stay on the right side of history. At AI & Partners, we believe AI should unlock potential—not cause harm. We've seen the fear and fallout when teams lose control of AI, but also the trust and innovation that follow when it's handled responsibly. That's why we exist: to help you build AI you can trust and stand behind—for the long run.

80%

of AI systems
are unknown

What Do We Do?

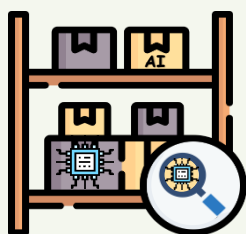
We enable safe AI usage—for your organization and your clients. Unknown AI adoption leads to confusion, risk, and reputational damage. We help you take control with tools to identify, monitor, and govern all AI systems—so you're not reacting to AI, you're leading it.



How Do We Do It?

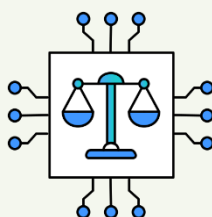
Do you know what AI systems you have? Identify all known and unknown AI systems (algorithms, LLMs, prompts, and models) from all internal and external AI vendors, automated by generating your inventory. Overall, 80% of AI inventory is unknown to our clients.

How do you guarantee ongoing safe AI use? Continuously monitor deployed AI systems for performance drift, anomalies or failures, real-world impacts, and emerging risks (e.g. data poisoning). Any malfunction of an AI system has severe implications for organisations (e.g. inability to assess online misinformation that leads to widespread public mistrust), so monitoring becomes a matter of urgency.



AI Discovery & AI Inventory

Automatically detect all AI systems, including models, algorithms, and prompts, and maintain a live, always-updated register for full visibility and compliance.



Responsible AI

Embed fairness, transparency, and control into every stage of AI use—aligning with the EU AI Act and building 'Trustworthy-by-Design'.



Model Monitoring

Continuously track your AI models after deployment to detect drift, bias, or failure—so you stay in control and prevent harm before it happens.



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Overview

Artificial Intelligence (AI) is rapidly reshaping Denmark's economy, governance, and public services. As a Member State of the European Union, Denmark has opted for a pragmatic, EU-aligned approach to AI governance—anchored by the forthcoming EU AI Act and operationalized through the National Strategy for Artificial Intelligence (2019). Rather than adopting standalone national AI laws, Denmark integrates AI oversight through coordinated implementation, flexible legal instruments, and trust-based innovation policies. Key initiatives launched in December 2024 include:

- Digital Taskforce on AI
- New AI centre (advisory for citizens, businesses and government)
- Platform for safe and transparent Danish language models
- Availability of open-source Danish language data

Denmark is well prepared for AI, thanks to a unique blend of digital strengths. It boasts world-class IT infrastructure and one of the most digitized public sectors globally. As an example Denmark had a National Genome Center when there were only a dozen national centers globally and more recently the Quantum Computer Center further strengthened the position at the frontier of AI, data, and computing innovation. A strong education system fuels a tech-literate, innovation-ready workforce. High technology awareness and cultural openness to digital solutions drive rapid adoption. Combined with a healthy risk tolerance and a culture of open debate and critical dialogue, as well as a strong tradition of ethical governance, transparency, and commitment to fairness ensures that AI advances align with democratic values and societal trust.

At the heart of Denmark's AI governance efforts is a commitment to trustworthy, human-centric, and ethical AI, aligned with EU values and international norms. The national strategy sets out four strategic goals: (1) establishing a responsible and ethical AI foundation, (2) supporting research and competences, (3) enabling business innovation, and (4) enhancing public sector services. Governance is embedded within existing legal frameworks—including the Danish Data Protection Act (GDPR), the Product Liability Act, and emerging obligations under the EU AI Act. Oversight will be carried out by the Agency for Digital Government, designated as the national competent authority, and supported by the Danish Data Protection Agency.

Denmark is advancing practical mechanisms to enable responsible AI adoption, including a national AI sandbox (building on its GDPR sandbox), sector-specific guidance, and voluntary principles on ethical AI. New policy instruments—such as ethical disclosures, explainability guidelines, and public consultations—reinforce trust, accountability, and readiness across government and industry. Denmark's AI governance ecosystem involves a broad coalition of public and private actors, including:

- Agency for Digital Government (EU AI Act coordination and implementation)
- Danish Data Protection Agency (oversight of AI systems processing personal data)
- Innovation Fund Denmark (support for AI research and business development)
- Local Government Denmark (KL) and municipalities (AI in public services)
- Data Ethics Council (ethics guidance and advisory role)
- Danish Standards (national and international standards)

Institutional collaboration is fostered through digital hubs, public-private partnerships, and strategic alliances with academia, including major international partnerships (e.g. MIT, UC Berkeley). These structures ensure that ethical foresight and stakeholder input are embedded into policy design and AI deployment.

Internationally, Denmark plays an active role in shaping AI norms through its engagement in the EU AI Board, the OECD, and the Nordic-Baltic AI cooperation. It supports international standards on ethical AI and hosts the European focus group on AI standardization—strengthening its position as a contributor to global governance frameworks. As outlined in its national strategy and supporting initiatives, Denmark's vision for AI includes:

- Embedding AI in public sector transformation, including healthcare, municipal services, and welfare delivery;
- Enabling private-sector innovation through startup support, research funding, and open data access; Building AI readiness in the workforce, with a national focus on digital literacy, lifelong learning, and AI curricula;
- Ensuring equitable access to AI technologies across all regions and population groups;



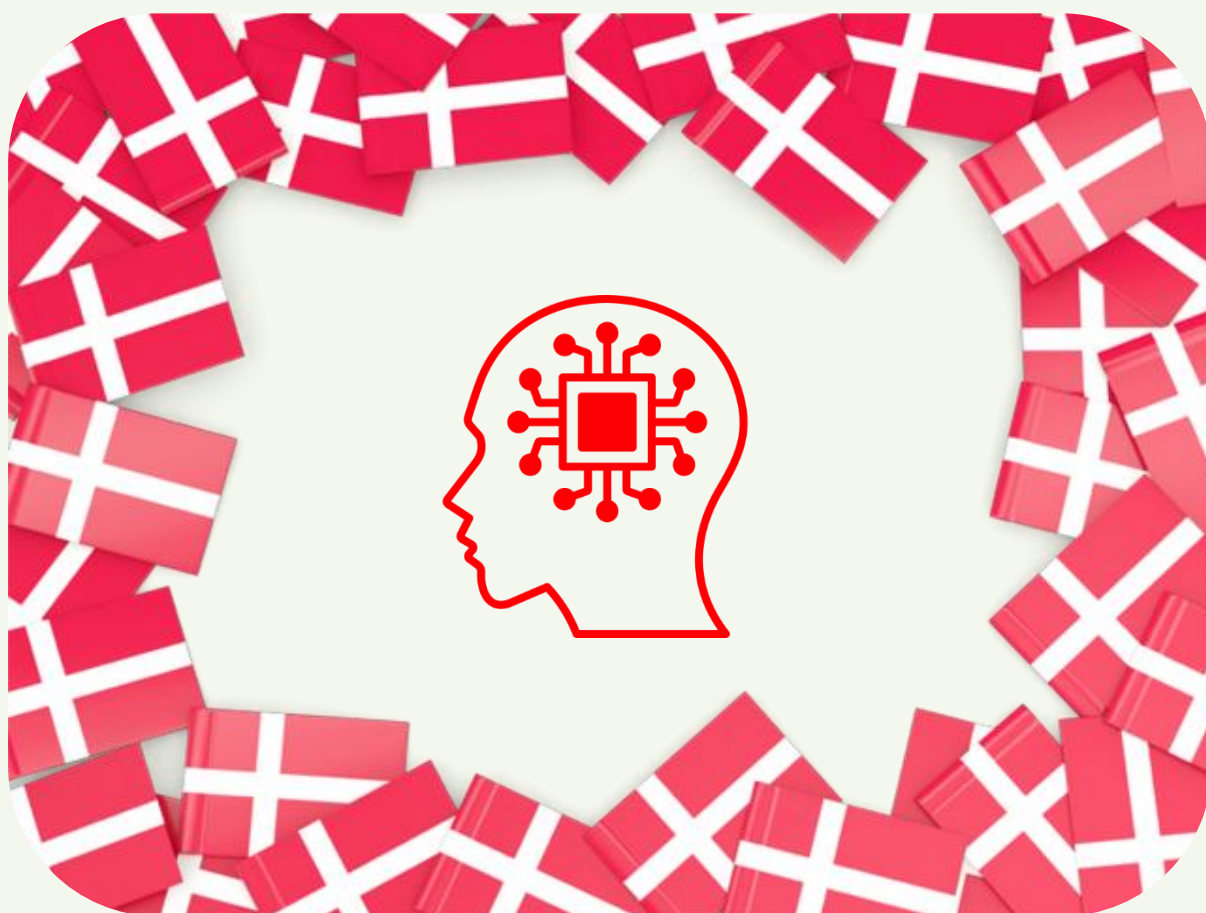


- Supporting a robust digital infrastructure, including secure data environments, public datasets, and Danish-language AI resources.

Importantly, Denmark has taken a notably transparent stance on the disruptive potential of AI, especially within the public sector. The Prime Minister has openly acknowledged that AI will lead to job losses and downsizing in public administration. Rather than downplaying the impact, the government emphasizes the need for adaptation, retraining, and smart implementation. This openness reflects Denmark's broader culture of honesty, public trust, and proactive governance in navigating technological change.

Through this coordinated, EU-integrated, and ethically grounded model, Denmark aims to position itself as a trusted, resilient, and innovation-friendly AI leader in Europe. Not only is Denmark aligning with international best practices—it is helping to shape them.

This report outlines Denmark's AI governance evolution, regulatory architecture, and enabling ecosystem—demonstrating how a digitally mature, mid-sized European country is balancing innovation with accountability and public trust.





Specific AI Governance or Law

Denmark has no standalone AI law but is implementing the EU AI Act, with phased obligations starting in 2025. Its 2019 National AI Strategy emphasizes ethics, innovation, business growth, and public service. Key initiatives include regulatory sandboxes, sector-specific guidance, AI literacy efforts, and investment in responsible AI development. Rather than national rules, Denmark focuses on shaping EU AI standards, contributing technically to ensure harmonized compliance across Europe and aligning regulation with practical implementation.

Specific AI Governance in Denmark

Rather than creating standalone AI legislation, Denmark is focused on implementing the EU AI Act effectively within its national legal framework. As an EU Member State, Denmark has already begun preparing for the AI Act's phased requirements, including the prohibition of unacceptable-risk AI systems (from February 2025) and obligations for General Purpose AI (from August 2025). Denmark's overarching strategic direction is rooted in the National Strategy for Artificial Intelligence, launched in 2019. This strategy sets out four primary objectives: A human-centered and ethical foundation for AI; Strengthened AI research and innovation; Business growth through AI development and use; Enhanced public services via AI integration. To promote responsible AI development and compliance with the AI Act, Denmark is pursuing key national initiatives, including: Launching a regulatory sandbox for AI (initially focused on GDPR, with expansion to AI Act guidance); Publishing voluntary guidelines on the responsible use of AI for businesses, authorities, and citizens; Releasing sector-specific guidance, such as from the Danish Financial Supervisory Authority and Local Government Denmark; Promoting AI literacy through nationwide training resources; Coordinating with municipalities and industry on signature AI projects; and strengthening investments in Danish businesses developing AI.

AI Ethics Guidelines and Sectoral Governance Tools

In the absence of binding national AI laws, Denmark relies on voluntary frameworks and existing regulations to govern AI deployment. The definition of AI in Article 3(1) of the EU AI Act is now the reference point for Danish policymakers, although it is not a generally applicable legal definition outside the scope of the Act. AI-related ethical concerns—including data protection, bias, and labor impact—are embedded in the Danish government's approach and are addressed through: The Danish Data Protection Act (implementing GDPR); The Danish Copyright Act, particularly concerning text and data mining; The Danish Marketing Practices Act, protecting consumers from misleading AI-driven advertising; The Product Liability Act and future updates to include AI as "products"; The General Product Safety Regulation, effective from December 2024; Mandatory data ethics disclosures under the Danish Financial Statements Act (section 99d). Together, these instruments offer a comprehensive—if distributed—oversight mechanism for AI use.

Proposed AI Regulatory Authority and Future Outlook

Denmark has designated the Agency for Digital Government as the national competent authority for implementing the EU AI Act. This agency will coordinate domestic supervisory authorities and represent Denmark at the European AI Office. The Danish Data Protection Agency will maintain its role in overseeing AI systems that process personal data, particularly high-risk applications. Coordination between these bodies will be critical in ensuring enforcement from 2025 onward. Looking ahead, Denmark will finalize the implementation of supervisory structures and enforcement mechanisms by August 2, 2025, when obligations related to General Purpose AI and national authorities under the AI Act become binding. Danish stakeholders, from ministries to municipalities, are expected to continue preparing through awareness campaigns, public-private collaboration, and investments in AI governance infrastructure. Denmark's AI governance approach is rooted in its digital strengths and regulatory maturity. As it operationalizes the EU AI Act, the country aims to strike a balance between innovation and accountability—ensuring AI contributes to a fair, competitive, and rights-respecting society.



Discussion: Denmark's National AI Strategy

'Denmark's AI governance is founded on a structured, values-driven framework that emphasizes responsible innovation, international cooperation, and inclusive technological growth. The National Strategy for Artificial Intelligence (2019), coordinated by the Ministry of Finance and the Ministry of Industry, Business and Financial Affairs, serves as the country's principal policy instrument. It was developed through engagement with academia, industry, civil society, and government bodies. Anchored in the European Union's Coordinated Plan on AI and supported by national strategies such as Denmark's Digital Growth Strategy and the Digital Hub Denmark initiative, Denmark's approach prioritizes ethical, safe, and human-centric AI development. The strategy defines four strategic objectives: (1) building a responsible and ethical foundation, (2) ensuring strong competences and research, (3) enabling AI-driven business growth, and (4) deploying AI to modernize public services. These objectives reflect Denmark's broader vision to be a global frontrunner in responsible AI. Rather than developing standalone legislation, Denmark integrates AI governance through EU frameworks—particularly the EU AI Act—and supplements them with national initiatives and ethical principles, including



Analysis

Denmark's AI strategy is grounded in European values and international frameworks such as the OECD AI Principles and UNESCO guidelines, with a strong emphasis on human-centric, rights-based development. Ethical deployment is prioritized in critical domains such as healthcare, energy, and transport, where Denmark already has internationally competitive sectors. A distinctive feature of the Danish approach is its foundation in trust, transparency, and stakeholder inclusion. Implementation is distributed across multiple ministries and agencies, supported by entities such as the Data Ethics Council and Innovation Fund Denmark. National projects, such as the CHAIN Project (AI for water systems) and signature AI initiatives in healthcare, illustrate the country's commitment to responsible experimentation. Denmark also advocates for proactive risk management through public guidance on transparency, pilot projects on algorithmic explainability in the public sector, and the planned expansion of a regulatory sandbox model to include AI governance beyond GDPR.

Denmark's strategy promotes proportionality and risk-based adaptation to sectoral dynamics. The 2025 strategy emphasizes digital sovereignty, including trials of LibreOffice over Microsoft Office, reflecting a broader push to avoid dependency risks highlighted during recent global crises. It encourages flexible regulatory guidance for startups and SMEs, coupled with targeted support such as investment pools and cloud access for experimentation. The government explicitly addresses challenges facing smaller language markets and aims to bridge them by creating a freely accessible Danish language resource to support voice and text-based AI solutions. Rather than top-down mandates, Denmark promotes a balance between regulation and innovation through co-regulation and voluntary standards. Equal access and societal inclusion are emphasized, ensuring that AI technologies benefit all population groups. Operational capacity is strengthened through investments in digital infrastructure, cloud technologies, and language data resources, along with coordinated efforts in cybersecurity, data ethics, and cross-sector collaboration. Digital Innovation Hubs and programs such as World-Class Digital Services aim to build a shared ecosystem for trustworthy digital transformation. Denmark is expanding research and skills pipelines through initiatives like the Technology Pact (Teknologipagten), new AI-focused university programs, and strategic partnerships with international research centers such as MIT and UC Berkeley. Lifelong learning and workforce reskilling efforts are also supported through a dedicated transition fund and adult education frameworks. Denmark embraces adaptive governance by committing to continuous monitoring and annual evaluation of its AI strategy. Feedback from the Data Ethics Council, professional networks, and research communities helps ensure policy relevance as the technology evolves. International engagement is a cornerstone of Denmark's governance model. Through active participation in EU initiatives, OECD collaborations, and Nordic-Baltic cooperation, Denmark positions itself as both a contributor to and beneficiary of global efforts toward trustworthy AI.





Denmark's Approach to AI Regulation and Governance

'Denmark's approach to AI governance is grounded in alignment with the EU AI Act, prioritising harmonised, risk-based regulation across Member States. Rather than adopting standalone national AI legislation, Denmark integrates AI governance through EU-level implementation and complementary national strategies. The Danish National Strategy for Artificial Intelligence, published in 2019, provides a strategic framework for responsible AI development across ethical, legal, and economic dimensions. The strategy is structured around four key objectives: establishing a common ethical and human-centric foundation for AI; supporting AI research; enabling business growth through AI; and promoting AI in public services. It builds on earlier digital policies and supports a competitive, inclusive AI ecosystem that balances innovation with rights protection and public trust.'

1. Institutional Support and Strategic Missions

Implementation of AI governance in Denmark is coordinated across several institutions. The Agency for Digital Government serves as the national competent authority under the EU AI Act, coordinating with sectoral regulators and representing Denmark in the European AI Office. The Danish Data Protection Agency plays a key role in overseeing AI systems that process personal data, especially high-risk applications.

Strategic missions under Denmark's AI framework include deploying AI in public administration, enabling responsible AI in the financial sector, and supporting digital transformation through sector-specific partnerships with municipalities, businesses, and research institutions. These efforts aim to foster a digitally resilient and economically adaptive society.

2. Standards Development and Global Engagement

As an EU Member State, Denmark contributes to European AI standard-setting by engaging in the development of secondary EU legal acts and participating in the EU AI Board. This includes contributing to harmonised enforcement mechanisms, guidance on high-risk systems, and the development of codes of conduct for AI developers and deployers.

Denmark's global AI engagement is primarily channeled through EU institutions, ensuring consistency with the Union's broader regulatory, ethical, and trade policies. Through this alignment, Denmark also contributes indirectly to shaping international norms and frameworks.

3. Sectoral and Extended Regulatory Approaches

Denmark follows a centralised regulatory model that supports sectoral implementation. On 8 May this year the Danish Parliament approved Law 467 of 14-05-2025, on supplementary regulations to the EU AI Act.





Efforts are currently focused on preparing for the full implementation of the EU AI Act. This includes launching an AI regulatory sandbox, designating supervisory authorities, publishing sector-specific guidance, and supporting SMEs and public authorities with compliance. Rather than fragmenting regulation, Denmark ensures sector-neutral alignment through cross-cutting principles rooted in existing law.

4. Fostering Innovation and Indigenous Development

Denmark supports domestic AI innovation through test environments, research initiatives, and public–private collaborations. The national AI strategy promotes a responsible innovation culture with a DKK 60 million investment in 24 initiatives across the public and private sectors.

Key instruments include Denmark’s AI sandbox for data protection, launched in March 2024, which is expected to expand into AI Act guidance. Government-backed initiatives focus on enabling SMEs to experiment with AI safely, promoting ethical AI use, and facilitating cooperation between municipalities, regulators, and companies to accelerate AI solution development.

5. AI in Public Sector Transformation

AI is a key enabler in Denmark’s digital public services agenda. Signature projects include responsible AI deployment in public administration and municipal services, guided by voluntary principles issued by the Agency for Digital Government and Local Government Denmark (KL).

These projects are aligned with broader public digital transformation goals, emphasizing transparency, citizen trust, and compliance with the GDPR. AI is increasingly used for document processing, service delivery automation, and predictive analytics, with a growing focus on balancing efficiency with ethical safeguards.



6. AI Skills, Education and Inclusion

Denmark’s AI governance includes a national push for AI skills and digital literacy. The government has published AI literacy guidance applicable to all companies and public authorities, in accordance with Article 4 of the EU AI Act.

Workforce adaptation is a core priority, with emphasis on upskilling and preparing employees to use AI responsibly. Sectoral guidelines recommend that organisations adopt internal policies on AI usage, and ensure that employees understand the risks associated with generative AI, including data privacy, bias, and IP considerations.

7. Infrastructure, Compute and Data Foundations

Denmark is enhancing its digital infrastructure to support trustworthy AI deployment in alignment with EU data governance principles. The government promotes open public-sector data and the development of common Danish language resources for AI.

Denmark is investing in test environments and public-private platforms for data sharing and algorithm testing. These initiatives help establish a robust data and infrastructure foundation while supporting cross-sectoral AI deployment in a secure and privacy-conscious manner.



Denmark's Approach to Fostering AI Innovation

'Denmark's approach to artificial intelligence is grounded in its digital leadership, ethical governance, and commitment to European collaboration. Through its National AI Strategy, Denmark aims to be a global frontrunner in responsible AI development, leveraging data-driven innovation to improve public services, economic competitiveness, and societal wellbeing. With strong institutional coordination, a trusted public sector, and vibrant research and business ecosystems, Denmark promotes AI aligned with democratic values, individual rights, and sustainable development.'

1. Unlocking Economic Value through Targeted AI Deployment

Denmark is applying AI to strengthen its globally competitive sectors—particularly healthcare, logistics, and renewable energy. The national strategy prioritises AI integration in public services, energy systems, and transport optimisation. Flagship use cases include early cancer detection at Odense University Hospital and predictive maintenance in water utilities. These efforts aim to improve productivity, reduce environmental impact, and support smart, citizen-centric service delivery across the economy.



2. Catalysing Innovation through Strategic Clustering and Ecosystems

AI innovation in Denmark is driven by a nationwide ecosystem of universities, startups, corporates, and public institutions. Initiatives like Digital Hub Denmark and Innovation Fund Denmark promote clustering in areas such as Copenhagen and Aarhus. Denmark's strong ties with international research networks—such as partnerships with MIT and UC Berkeley—enhance global integration. AI signature projects span public sector digitisation, legaltech, fintech, and environmental monitoring.

3. Enabling Trusted and Responsible Data Use

Denmark places ethical AI at the heart of its governance model. The strategy is underpinned by six national ethical principles (e.g. responsibility, dignity, explainability) and supported by a dedicated Data Ethics Council. Regulatory sandboxes and algorithmic transparency initiatives ensure safe AI experimentation. Public-sector data is opened responsibly for AI development, with strict adherence to GDPR and citizen trust as a core objective.





4. Scaling AI in the Public Sector

AI is a cornerstone of Denmark's digital public sector transformation. Signature projects focus on welfare services, employment, and healthcare diagnostics. Municipalities and ministries pilot AI tools to streamline case handling, personalise services, and enhance efficiency—while upholding transparency and fairness. National guidelines are being developed to support explainable and accountable AI use in government decision-making. With AI scaling rapidly, stable electricity will become a bottleneck. Denmark, like others, must plan for data centre demand to avoid grid stress and sustain growth.

5. Advancing Compute and Research Infrastructure

Denmark is investing in cutting-edge research and compute infrastructure through Innovation Fund Denmark and participation in the European High-Performance Computing (EuroHPC) initiative. Efforts focus on boosting access to cloud environments for AI experimentation, advancing cybersecurity for AI systems, and building a strong research pipeline through strategic investments in new AI-focused academic programs. Denmark's new AI supercomputer, Gefion, currently serves academia. Ensuring access for SMEs could amplify innovation, following U.S. trends where industry plays a key role in AI development.

6. Empowering SMEs and Startups

The national strategy provides DKK 60 million in funding across 24 initiatives to support AI innovation, with dedicated investment pools and business-focused programmes. SMEs benefit from a shared Danish language resource, open government datasets, and collaboration opportunities with universities and regulators. The AI sandbox and targeted grants enable SMEs to develop and test novel solutions in a secure, low-barrier environment.



7. Developing a Future-Ready Workforce

Denmark's workforce strategy blends digital skills education, reskilling initiatives, and talent attraction. From primary school coding initiatives to university-level AI degrees, the country invests across the full talent pipeline. Programmes like Teknologipagten and government-funded continuing education ensure that workers can adapt to AI-driven transformations while safeguarding inclusion and social cohesion.

8. Aligning AI Innovation with Sustainability Goals

Denmark aligns AI development with its climate leadership by promoting applications in energy efficiency, flood prediction, and green mobility. AI is used in utilities to reduce carbon footprints and improve environmental resilience. Initiatives focus on leveraging public-sector data for climate solutions, aligning AI development with EU Green Deal targets and national sustainability goals.



9. Building Public Trust and Ethical AI

Trust is central to Denmark's AI model. Transparent use of algorithms in public services, mandatory ethical disclosures in financial reporting, and public consultations help build societal confidence in AI. Civil society and academia contribute to debates on data ethics and AI rights, ensuring a human-centric approach that reflects Denmark's democratic and egalitarian values.

10. Shaping Global AI Governance and Standards

Denmark is a strong contributor to international AI governance through the EU AI Act, OECD, Council of Europe, and Nordic-Baltic AI Declaration. It hosts the secretariat for the European AI standardisation focus group, enabling Danish businesses to shape emerging norms. By combining ethical foresight with technical leadership, Denmark aims to position itself as a trusted voice in global AI development.



Case: Artificial intelligence provides better food safety

Today, X-ray inspection requires unique solutions for each product to be tested. For example, one solution is used to find out whether a potato is rotten, whereas another solution is used to find out whether cold cuts have been contaminated with metal chips. Innovation Fund Denmark is supporting a project to develop quality control of food, for example, using X-ray inspection. The aim of using artificial intelligence is to eliminate the need to develop unique software solutions for each individual product, allowing the system automatically to learn to distinguish between good and faulty products.

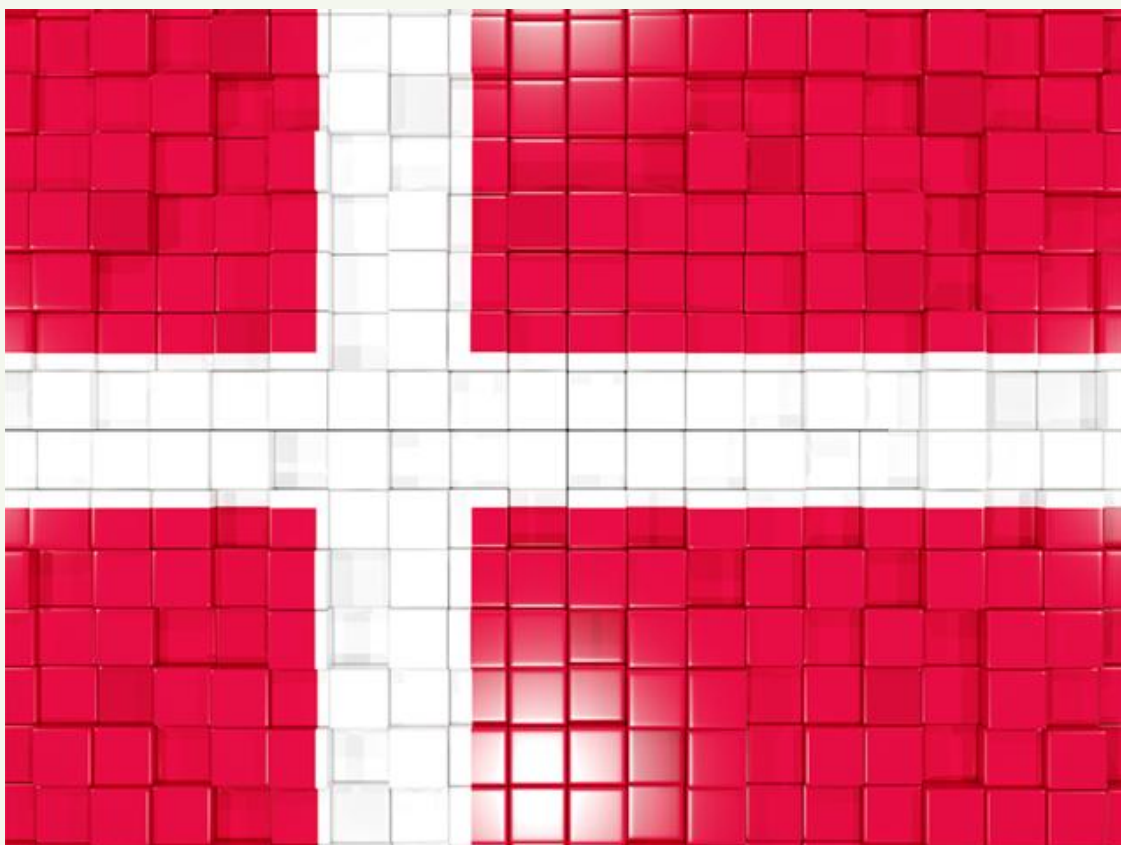




Figure 1: Benefits of using AI in the short-term

For the Individual



More individualised treatment of the sick, e.g. through identification of citizens with heart attack by using advanced voice recognition for emergency calls

Better search for information and route planning.

Better technical aids helping citizens to write, read and hear (intelligent hearing aids, reading aloud etc.).

Better service for citizens and case support in public administration, e.g. at Udbetaling Danmark (the Danish authority for payments of benefits etc.), in the employment area and at citizen service centres in Danish municipalities.

Better digital customer experiences, e.g. help to check prices or to pay bills.

For businesses



Less time wasted by transport and logistics firms because they can predict when consumers will buy products and thereby prepare the products for shipping even before consumers order them.

Identification of errors in reportings from customers at e.g. banks, insurance companies and pension funds.

Development of intelligent conveyor belts to predict maintenance needs at production companies.

Development of new digital business models, e.g. within the sharing economy, such as rental housing, car share schemes and travel booking and planning

For the public sector



Intelligent environmental monitoring, prediction of flooding during cloudburst events and management of drainage systems

Quicker and better diagnosis as well as more targeted treatments for diseases.

A more efficient tax system and better possibilities to combat fraud in VAT, tax and social benefits.

Higher quality and more citizen-centered care through better resource management, e.g. optimising the operation of public hospitals to free-up more beds.

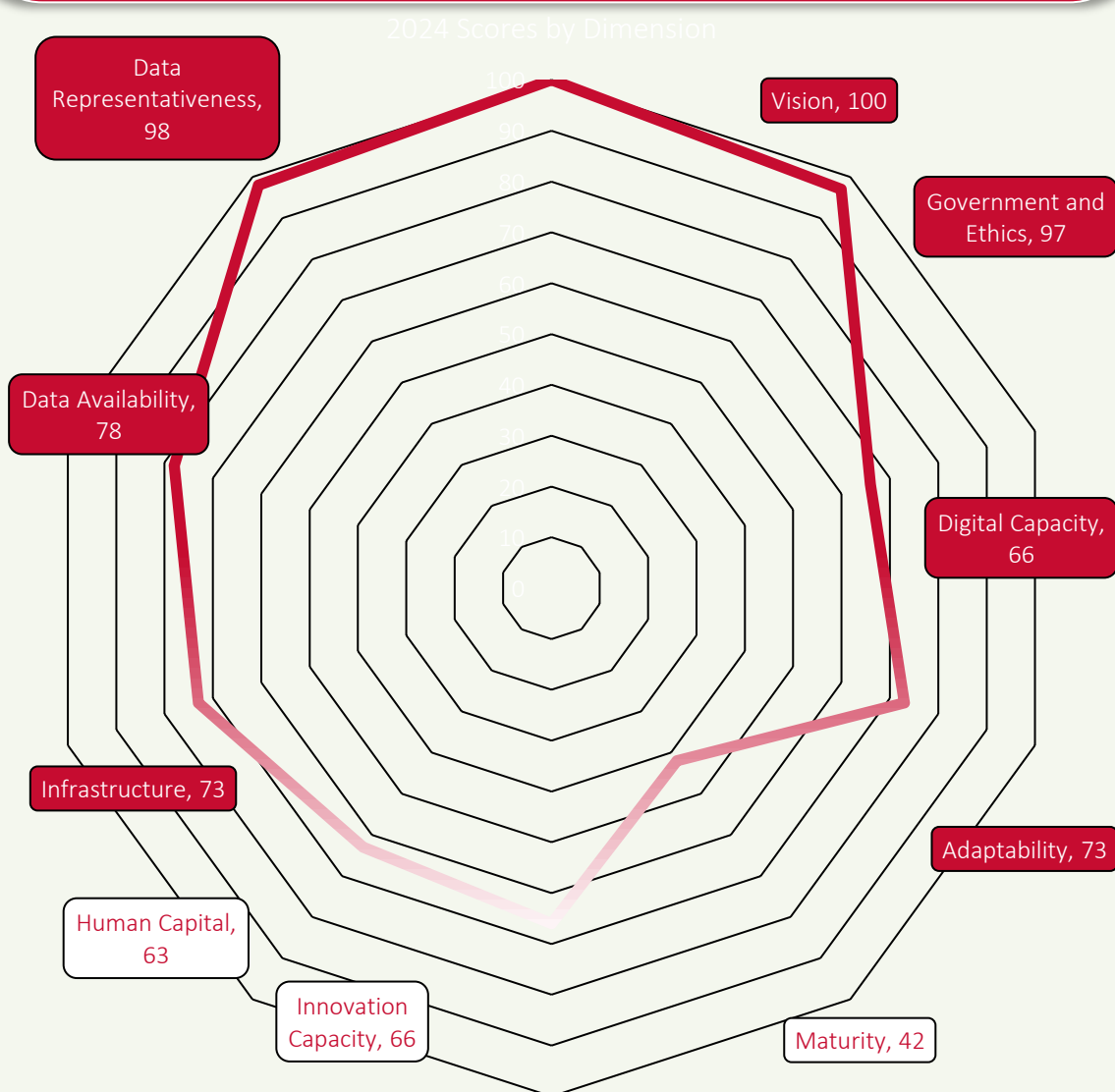
Quicker case processing and more efficient administration, e.g. through digital sorting of citizens' inquiries, ensuring that citizens receive quicker replies.





Government AI Readiness by Oxford Insights

Western Europe ranks as the highest-performing region in this year's Government AI Readiness Index, with five countries in the global top 10. France leads the regional ranking with a score of 79.36, narrowly ahead of the United Kingdom (78.88), followed closely by the Netherlands (77.23), Germany (76.90), and Finland (76.48). With an average regional score of 69.56, Western Europe outperforms the global average (47.59) across all three pillars of Government, Technology, and Data & Infrastructure. The region's standout strength is the Data & Infrastructure pillar, where it averages 81.91, more than 21 points above the global benchmark (59.62), reflecting its advanced digital infrastructure and high-quality data environment. Although a few microstates such as San Marino, Liechtenstein, and Andorra fall slightly below the global average in the Government pillar, Western Europe's dominance at the top of the index underscores its continued leadership in AI readiness.





Government

Denmark is among the most diligent EU members in implementing EU regulations, and scores 84.07 in the Government pillar, underscoring its strong institutional capacity, digital governance maturity, and alignment with EU-wide AI regulation. While Denmark does not pursue standalone AI legislation, it is actively implementing the EU AI Act through designated national authorities, including the Agency for Digital Government and the Danish Data Protection Agency. Government-led initiatives emphasize ethical AI, public sector innovation, and AI literacy, with strategic oversight extending across municipalities and sectoral regulators. Voluntary national guidelines, a regulatory sandbox, and targeted public investment all contribute to a whole-of-government approach that prioritizes citizen trust, transparency, and responsible AI deployment.

Technology Sector

Denmark's Technology pillar score of 57.17 reflects a moderately advanced innovation landscape with strong public investment but uneven private sector scaling. The country boasts a growing number of AI deployments in healthcare, finance, and legal services, and its universities contribute significantly to AI research. However, challenges remain in scaling deep-tech startups and attracting larger international investment. National strategies promote collaboration between research institutions, SMEs, and public authorities, but further progress is needed in translating research into market-ready solutions. Enhancing venture capital access, fostering academic-commercial linkages, and supporting compute-intensive AI development will be key to unlocking Denmark's full technological potential.



Data & Infrastructure

With a Data & Infrastructure pillar score of 82.89, Denmark performs strongly in areas critical to trustworthy AI adoption. The country has a well-developed digital infrastructure, advanced data protection mechanisms aligned with the GDPR, and active participation in EU-level data spaces and standards. Denmark's public sector plays a leading role in providing open datasets, while guidance from national authorities ensures responsible data use. Investments in cloud computing, secure data environments, and language resources for Danish AI models further enhance its readiness. These capabilities provide a solid foundation for scaling AI across sectors while safeguarding privacy, interoperability, and public value.



Conclusion

Denmark's artificial intelligence ecosystem is entering a pivotal phase—positioned to convert its digital strengths, ethical leadership, and EU-aligned frameworks into widespread economic, public sector, and societal value. Anchored by the National Strategy for Artificial Intelligence (2019) and reinforced by mature governance institutions, advanced data infrastructure, and cross-sector collaboration, Denmark has established itself as a principled and innovation-ready AI jurisdiction.

Flagship initiatives—including the national AI sandbox (expanding from GDPR to EU AI Act coverage), a network of Digital Innovation Hubs, and public sector deployments in healthcare, social welfare, and municipal services—highlight Denmark's commitment to embedding AI across government and industry. The designation of the Agency for Digital Government as the national competent authority under the EU AI Act further cements Denmark's role in shaping a consistent, values-driven European AI regulatory environment.

Nonetheless, Denmark faces challenges in fully capitalizing on its AI potential. While its public sector demonstrates world-class digital maturity, the private sector—especially in deep-tech scale-ups and venture-backed AI innovation—has yet to achieve comparable momentum. AI research is robust across Danish universities, but the translation into scalable, market-ready applications remains uneven. The technology pillar score of 57.17 in the AI Readiness Index reflects this need to strengthen commercialization pathways, expand compute capacity, and better mobilize private capital.

To advance its AI maturity, Denmark must accelerate investment in high-performance computing (HPC), build seamless bridges between academic research and private innovation, and scale support for SMEs developing frontier and applied AI solutions. Expanding the AI talent pipeline through vocational training, university curricula, and lifelong learning—alongside support for digital inclusion—will be essential to maintain a resilient and inclusive ecosystem. This is easier said than done. Denmark's small size limits its AI innovation due to constrained resources, smaller talent pools, and significantly less venture capital compared to the US. This hinders its ability to scale AI development and compete with America's vast tech ecosystem and investment capacity, despite increasingly loud calls to do so.

Denmark's governance coherence and institutional capacity are key enablers. The Agency for Digital Government and the Danish Data Protection Agency, in partnership with ministries, municipalities, and the Data Ethics Council, offer a collaborative governance model rooted in transparency, proportionality, and stakeholder trust. As new challenges emerge—ranging from algorithmic bias to frontier model oversight—Denmark must sustain this multi-actor approach while enhancing legal agility and sectoral adaptability. Internationally, Denmark plays an influential role in EU and global AI governance. It contributes actively to the EU AI Board, supports the development of harmonised enforcement standards and secondary legislation, and leads on AI standardisation initiatives within Europe. Through participation in OECD, Nordic-Baltic cooperation, and ethical AI coalitions, Denmark continues to shape the global debate around trustworthy and sustainable AI.

The opportunity ahead is substantial: Denmark combines a strong public sector, ethical foresight, and digital infrastructure with an engaged research community and transparent institutions. With targeted efforts to improve innovation scaling, private sector engagement, and applied AI deployment, Denmark can unlock ecosystem-wide impact—turning ethical leadership into economic and societal dividends. The foundation is sound—what's needed now is scale, speed, and sustained coordination.





Appendix A: ‘What Makes Denmark stand out as a key jurisdiction for AI enablement?’



Martin Khristi

Consultant at Mega Technologies

Sweden AB & Data

Analyst at CA A-kasse



Denmark’s AI ecosystem is anchored in ethical governance, EU regulatory alignment, and one of the most advanced digital public infrastructures in the world. With initiatives like the National AI Strategy, regulatory sandboxes, open data platforms, and widespread support for public-private collaboration, Denmark is positioning itself as a leader in responsible and human-centric AI.

Denmark already has a strong digital infrastructure and progressive policies, so it’s only natural that AI is the next step. But without the right governance, the use of sensitive data could become a 'wild west' scenario. That’s why there is a strong focus on responsible AI—driven not just by EU regulations like the GDPR and the AI Act, but also by common sense and Denmark’s long-standing commitment to trust and transparency.

As an AI developer, I’ve seen promising projects in Denmark stall—not due to lack of ambition, but because of over-reliance on proprietary platforms. For years, the ecosystem leaned heavily on U.S. tech giants, limiting flexibility and digital sovereignty.

As an open-source contributor and engineer, I’ve always advocated for transparent and interoperable technologies. That’s why Denmark’s recent decision to replace Microsoft Office 365 with LibreOffice in the Ministry of Digital Affairs—and early experiments with Linux—are so promising. These changes reflect a real shift in mindset toward digital self-determination, infrastructure control, and public-sector accountability.





This shift is not just symbolic. Cities like Aarhus and Copenhagen have already adopted open-source alternatives, and EU-wide efforts to reduce dependence on foreign cloud and compute infrastructure are gaining momentum. Together, these developments place Denmark in a strong position to build a resilient, inclusive, and innovation-driven AI ecosystem.

Ultimately, Denmark enables AI through a rare combination of regulatory clarity, ethical commitment, digital readiness, and trust-based public-private partnerships. Its strategic focus isn't only on pushing innovation forward—but on ensuring that innovation remains sustainable, secure, and human-centered.





Appendix B: Expert Vignettes



Bardia Varastehmoradi

*Senior Global Regulatory Affairs
Manager*



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*“AI must be built on trust, transparency, and responsibility to truly serve society. Denmark, with its strong ethical governance and alignment with guidelines and regulations, is well-placed to lead in AI innovation, **ensuring** safe and fair **usage**. In pharmaceuticals, for example, AI can accelerate regulatory work, such as gathering and analyzing data from manufacturing to clinical trials, ensuring compliance, and identifying gaps for further studies. This **approach** is helpful **in** accelerating regulatory tasks while ultimately securing the efficacy of medicines, patient safety, and advancing innovation.”*



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Biography

Bardia Varastehmoradi, Bardia works in Regulatory Affairs in the pharmaceutical industry, ensuring that medicinal product documentation meets guidelines and requirements of health authorities among the globe. With this expertise, AI's potential is recognized to transform data analysis, ensure compliance, and enable robust decision-making in healthcare.





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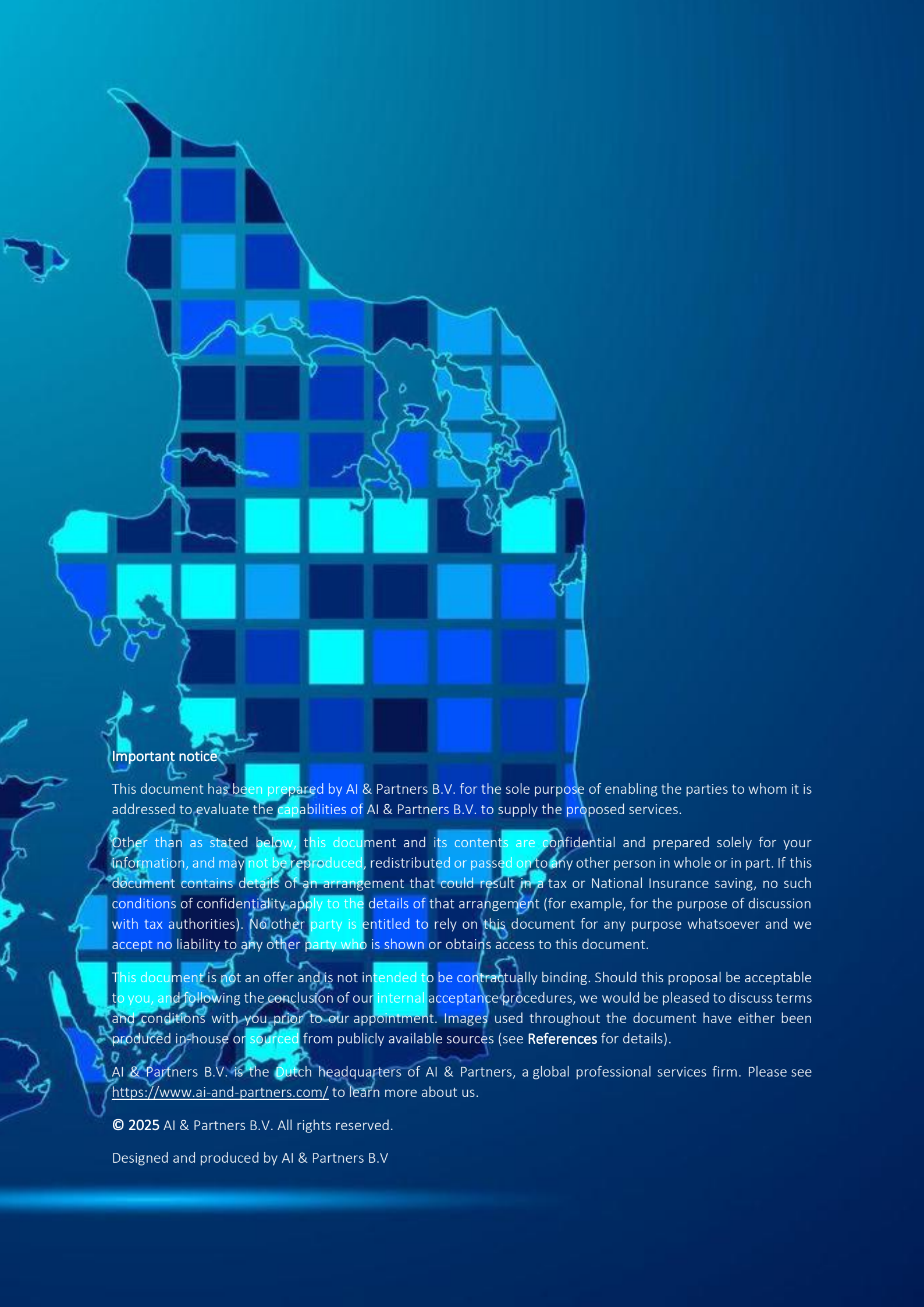
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